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Case Number: 26NNCV00050 Hearing Date: July 10, 2026 Dept: D

TENTATIVE RULING

Calendar: 3

Date: July 10, 2026

Case No: 26NNCV00050 Trial Date: Not yet set

Case Name: Wang v. Yu, et al.

DEMURRER AND MOTION TO STRIKE

[CCP § 430.10 subds. (e) and (f)]

Moving Party: Defendants, Chengkui Yu, Qing Guo, Bo Yu, Yumenyan Inc. and Xinguang Inc.

Responding Party: Plaintiff, Aimin Wang

RELIEF REQUESTED:

Sustain demurrer to Complaint and grant motion to strike.

CAUSES OF ACTION: from Complaint

1) Breach of Oral Contract

2) Breach of Implied Covenant of Good Faith and Fair Dealing

3) Conversion

4) Receipt of Stolen Property [Penal Code § 496]

SUMMARY OF FACTS:

This action arises from the breakdown of a business relationship. The Complaint alleges that in February 2024, Chengkui Yu (“C. Yu”) partnered with non-party Xiaohua Zhou (“Zhou”) to incorporate America Besttrin Inc. (“ABI”) as a high-end Chinese restaurant subsequently named Cuisine No. 1. C. Yu and his wife Qing Guo (“Guo”) also operate a restaurant known as Yu Men Yan and C. Yu and his cousin Bo Yu (“B. Yu”) also operate a business known as Late Night Bar.

Aimin Wang (“Plaintiff”) alleges that Zhou, C. Yu and Guo retained Plaintiff to design ABI including sourcing and purchasing high-end, authentic Chinese classical furniture, decorations, equipment, and other customized items from China, and arranging shipment of those items to the United States for use in launching the restaurant. Plaintiff alleges that in February 2024, Plaintiff, C. Yu and Zhou entered into an oral agreement under which Plaintiff would provide certain services, including, without limitation: (i) design the restaurant concept, logo, and interior layout; (ii) procure the furniture, decorations, equipment, customized items, and other materials at his own cost in China; (iii) pay for all packaging, labor, raw materials, and shipping costs; and (iv) ship the goods to the United States. Plaintiff alleges that Zhou and C. Yu agreed that they and/or ABI would reimburse Plaintiff for all costs in U.S. dollars.

From February 2024 through February 2025, Plaintiff alleges that he fully performed all obligations under the agreement. Plaintiff and his assistant procured furniture and décor items and packaged and shipped the goods to C. Yu. Plaintiff paid for all raw materials, labor costs, decoration boards and materials, packing materials, promotional video production costs, and shipping fees. Plaintiff alleges that he ultimately paid 173,990.2 RMB (approximately 24,631.08 U.S. dollars) for the shipping costs.

The Complaint alleges that all the items were delivered to C. Yu and ABI transferred to, possessed by, and/or used by one or more Defendants in connection with their restaurant and business operations, including but not limited to Cuisine No. 1, Late Night Bar, and Yu Men Yan. Despite Plaintiff’s demands for payment, Defendants have failed to reimburse Plaintiff for his costs and services.

DEMURRER:

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; CCP, § 430.10, subd. (e).)

To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (Committee on Children’s Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 212, superseded by statute as stated in Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) “[E]ach evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, Jones v. Lodge at Torrey Pines Partnership (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A demurrer for uncertainty lies where the pleading is uncertain, ambiguous, or unintelligible. (CCP, § 430.10, subd. (f).)

“A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616 [disapproved on other grounds].) As a result, a special demurrer for uncertainty is not intended to reach failure to incorporate sufficient facts in the pleading, but it rather is directed only at uncertainty existing in the allegations already made. (People v. Taliaferro (1957) 149 Cal.App.2d 822, 825, disapproved on other grounds in Jefferson v. J.E. French Co. (1960) 54 Cal.2d 717, 719-720 [statute of limitations question].)

Where a complaint is sufficient to state a cause of action and to apprise a defendant of issues he is to meet, it is not properly subject to a special demurrer for uncertainty. (Gressley v. Williams (1961) 193 Cal.App.2d 636, 643 [“A special demurrer [for uncertainty] should be overruled where the allegations of the complaint are sufficiently clear to apprise the defendant of the issues which he is to meet”].)

Second Cause of Action, Breach of Implied Covenant of Good Faith and Fair Dealing

The necessary elements for breach of the implied covenant of good faith and fair dealing are: (1) the existence of contractual relationship; (2) an implied duty; (3) breach; and (4) causation of the plaintiff’s damages. (Smith v. San Francisco (1990) 225 Cal.App.3d 38, 49.) All contracts impose upon each party an implied duty of good faith and fair dealing as part of its performance and its enforcement. (Foley v. Interactive Data Corporation (1988) 47 Cal.3d 654, 683.) Under the implied covenant, each contracting party must “refrain from doing anything to injure the right of the other to receive the agreement’s benefits.” (Jordan v. Allstate Ins. Co. (2007) 148 Cal.App.4th 1062, 1072.)

Defendants demur to the second cause of action on grounds that tort recovery is not available for non-insurance breach of contract actions, citing Freeman & Mills, Inc. v. Belcher Oil Co. (1995) 11 Cal.4th 85, 102.) Freeman, however, does not support Defendants’ argument. The Supreme Court recognized in Freeman that: “It is well settled that, in California, the law implies in every contract a covenant of good faith and fair dealing. [Citations.] Broadly stated, that covenant requires that neither party do anything which will deprive the other of the benefits of the agreement. [Citation.] [¶] California courts have recognized the existence of this covenant, and enforced it, in cases involving a wide variety of contracts….” (Freeman, 11 Cal.4th at p. 91, emphasis in original.) Although the Freeman Court recognized that a cause of action for the breach of the implied covenant does not always give rise to tort damages, the question of whether Plaintiff can seek tort damages or punitive damages is a separate question from whether Plaintiff is barred from pleading a cause of action for breach of the implied covenant of good faith and fair dealing with respect to the agreement. As recognized by the Supreme Court in Freeman, a covenant of good faith and fair dealing is implied in every contract in California and Plaintiff is not barred from alleging its breach, as a matter of law.

The demurrer to the second cause of action is OVERRULED.

Third Cause of Action, Conversion

“Conversion is the wrongful exercise of dominion over the property of another.” (Hernandez v. Lopez (2009) 180 Cal.App.4th 932, 939.) The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages. (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.) “[C]onversion is a strict liability tort. It does not require bad faith, knowledge, or even negligence; it requires only that the defendant have intentionally done the act depriving the plaintiff of his or her rightful possession.” (Voris v. Lampert (2019) 7 Cal.5th 1141, 1158.)

Defendants demur to the third cause of action on grounds that the Complaint fails to allege a specific amount of money converted, and on grounds that failing to pay money does not constitute conversion. (Demurrer, p. 4:3-16.) Upon review of the allegations in the Complaint, the conversion claim is not based on unpaid money due under the contract, but rather is based on conversion of specific property including “furniture, decorations, customized items, equipment, materials, and other goods procured, paid for, and shipped by [Plaintiff] in connection with the restaurant project described above.” (Compl., ¶ 51.) These allegations are sufficient to state a claim for conversion.

The demurrer to the third cause of action is OVERRULED.

Fourth Cause of Action, Receipt of Stolen Property [Penal Code § 496]

“Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting a theft or extortion, knowing the property to be stolen or obtained or who conceals, sells, withholds, or aids in concealing, selling or withholding any property from the owner, knowing the property to be stolen or obtained, shall be punished by imprisonment in a state prison or in county jail for not more than one year.”¿(Pen. Code, § 496.)¿ A defendant may be held civilly liable for receipt of stolen property under Penal Code section 496.¿(See Bell v. Feibush (2013) 212 Cal.App.4th 1041, 1049.)

Defendants demur to the fourth cause of action on grounds that the Complaint does not allege that Defendants knew the property was stolen. (Demurrer, p. 5:1-2.) Defendants further argue that “because the property is alleged to have been provided directly by Plaintiff in the first instance, it cannot reasonably be characterized as stolen property absent allegations that the goods were themselves stolen before being transferred to Defendants.” (Demurrer, p. 5:2-5.) These arguments are unavailing. Penal Code section 496 extends liability to “[e]very person who buys or receives any property that has been stolen or that has been obtained in any manner constituting a theft.” Penal Code section 484, subdivision (a) describes the acts constituting theft to include theft by false pretenses, which is the consensual but fraudulent acquisition of labor or property from its owner. (Penal Code, §§ 484, subd. (a), 532.) Here, the Complaint alleges that Plaintiff provided certain goods and services to Defendants, and that despite agreeing to compensate Plaintiff for those goods and services, Defendants have failed to do so. (Compl., ¶¶ 32, 35-36.) Thus, Plaintiff has sufficiently alleged a cause of action for receipt of stolen property under Penal Code section 496.

The demurrer to the fourth cause of action is OVERRULED.

Alter Ego Allegations

Defendants demur to the alter ego allegations in the Complaint on grounds that they are conclusory. (Demurrer, p. 5:11-28.) In Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 235-36, the Court of Appeal held that the following alter ego allegations were sufficient to survive a demurrer: that the individual defendant dominated and controlled the entity defendant; that a unity of interest and ownership existed between the individual defendant and entity defendant; that the entity defendant was a mere shell and conduit for the individual defendant’s affairs; that the entity defendant was inadequately capitalized; that the entity defendant failed to abide by corporate formalities; that the individual defendant used the entity defendant’s assets as her own; and that recognizing the separate existence of the entity defendant would promote injustice.

Here, the Complaint alleges that: “[Plaintiff] is informed and believes, and upon that basis alleges, that at all relevant times, one or more of the corporate defendants named above, including Defendants ABI, Yumenyan Inc, and Xinguang Inc, were the alter egos of one or more of the individual defendants named above, including Defendants C. Yu, Guo, and B. Yu. A unity of interest and ownership existed between these individual defendants and corporate defendants such that their separate personalities no longer existed, and adherence to the fiction of separate corporate existence would sanction a fraud or promote injustice.” (Compl., ¶ 13.) The Complaint further alleges that “[Plaintiff] is informed and believes, and upon that basis alleges, that at all relevant times, one or more of the individual defendants named above has: (1) controlled the business and affairs of the named corporate defendants; (2) commingled corporate funds and assets, and diverted corporate assets for personal use; (3) disregarded corporate formalities and failed to maintain arm’s-length relationships between the individuals and the corporations; (4) inadequately capitalized one or more of the corporate defendants; (5) held themselves out as personally liable for the debts and obligations of one or more of the corporate defendants; (6) used one or more of the corporate defendants as mere shells, instrumentalities, or conduits for personal and/or affiliated business purposes; (7) used one or more of the corporate defendants to procure labor, services, or merchandise for the benefit of other persons or entities, including affiliated businesses; (8) used one or more of the corporate defendants to conceal ownership, management, financial interests, and/or personal business activities; and (9) used one or more of the corporate defendants to shield themselves from personal obligations, including the obligations alleged in this Complaint.” (Compl., ¶ 13.) These allegations are more than sufficient to survive demurrer.

The demurrer to the alter ego allegations is OVERRULED.

MOTION TO STRIKE

The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (a) strike out any irrelevant, false, or improper matter inserted in any pleading; or (b) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (CCP § 436, subds. (a), (b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782 ["Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded"].)

Punitive Damages

Punitive damages may be recovered upon a proper showing of malice, fraud, or oppression. (Civ. Code, § 3294, subd. (a).) "Malice" is defined as conduct intended to cause injury to a person or despicable conduct carried on with a willful and conscious disregard for the rights or safety of others. (Turman v. Turning Point of Cent. Cal., Inc. (2010) 191 Cal.App.4th 53, 63.) "Oppression" means despicable conduct subjecting a person to cruel and unjust hardship, in conscious disregard of the person's rights. (Ibid.) "Fraud" is an intentional misrepresentation, deceit, or concealment of a material fact known by defendant, with intent to deprive a person of property, rights or otherwise cause injury. (Ibid.) Conclusory allegations, devoid of any factual assertions, are insufficient to support a conclusion that parties acted with oppression, fraud or malice. (Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1042.)

As an initial matter, Defendants' request to strike the punitive damages claim is procedurally improper. Defendants must file a separate notice of motion and motion to strike. (CCP § 435.) There is no authority allowing Defendants to include a request to strike punitive damages within their demurrer. The Court will exercise its discretion to address the merits of the request. Defendants are cautioned, however, that future motions must comply with all applicable procedural requirements.

Defendants argue that the punitive damages claims should be stricken because Plaintiff has failed to state his claims for breach of the implied covenant of good faith and fair dealing, conversion, and receipt of stolen property. (Demurrer, p. 6:24-27.) As discussed above, the Court found that Plaintiff has sufficiently stated these causes of action. Accordingly, the request to strike the punitive damages claims is DENIED.

RULING:

Defendants Chengkui Yu, Qing Guo, Bo Yu, Yumenyan Inc., and Xinguang Inc.'s Demurrer is OVERRULED.

Defendants Chengkui Yu, Qing Guo, Bo Yu, Yumenyan Inc., and Xinguang Inc.'s Motion to Strike is DENIED.

DEPARTMENT D IS CONTINUING TO CONDUCT AND ENCOURAGE

VIDEO APPEARANCES

If you wish to appear remotely on LACourtConnect, you may register by visiting www.lacourt.ca.gov to schedule a remote appearance. Please note that LACourtConnect offers free audio and video appearances. Department D is now requiring either live or VIDEO appearances, not audio appearances.